

The year of 2008 is arguably the year that truly proved trend following and made this industry balloon from a fringe strategy to a giant half a trillion dollar affair. If this year doesn't mean anything special to you, then you're probably quite young or you're new to finance. Most of us can be pushed to the point of a nervous breakdown simply by hearing this combination of those four cursed digits.

For those of you who have been living under a rock, or failed to watch *The Big Short*, here's a quick recap of why this year was a little different. After the stock market crash of 1929 and the ensuing Great Depression, a pretty important law was imposed which essentially said that banks can't go around taking massive gambles with savers' money, which was the big reason why we had such a severe crash in the first place. By 1999, following substantial lobbying, this law was quietly repealed, allowing banks to operate as giant casinos once again. For nearly a decade there was no world-threatening consequences of this, but by that time the casino mentality had built up a five trillion dollar business of repackaging worthless mortgage loans, risking not only bank money but pretty much everybody's money. Predictably, this situation blew up and blew up good, and practically everybody but the bankers behind the situation lost a lot of money. They got their bonuses as usual, because, of course, they did.

Anyhow, I digress. The first warning shot across the bow this year was when prestigious investment bank Bear Sterns quite suddenly blew up in March of 2008. It was a pretty big deal at the time, but it wasn't until nearly half a year later when the true horror started. Wall Street fixture Lehman Brothers, founded in 1850 and with 26,000 employees, blew up in September, nearly bringing the rest of the financial world down with it in a massive chain reaction. There were a few weeks in autumn of 2008 where it really looked as if any bank could blow up any day. Like watching popcorn in the pot, trying to predict which one will pop next.

I remember spending hours each day trying to analyse which banks were least likely to go bankrupt in the next 24 hours, and moving cash to the safest place overnight. It was a time like no other. It was also the most profitable year ever seen in trend following, but despite that, I hope never again to see a year like it.

Entering this year, you can see that the market action of 2007 has already started to push the portfolio allocation into a bear mode (Tables 6.25 and 6.26, and Figure 6.37). We're already somewhat short equities and have a few long rates positions. It's not a very big exposure yet, but we're seeing a tilt in the bearish direction.